

Credit Risk Assessment Memo

Portfolio Credit Risk Assessment - Consumer Loan Applications

OBJECTIVE

This analysis evaluates the credit risk profile of a portfolio of consumer loan applications using a structured, rules-based credit risk scorecard. The model is designed to support initial credit decisioning, identify elevated-risk cases, and flag applications requiring manual or enhanced review in line with prudent underwriting standards.

DATA & METHODOLOGY

The assessment is based on applicant-level financial and credit attributes, including income, existing debt, credit score, employment history, and adverse credit events such as defaults, delinquencies, bankruptcy.

A weighted scorecard was developed using five primary risk drivers:

- Credit Score
- Debt-to-Income (DTI)
- Employment Stability
- Past Defaults
- Delinquency History

Each factor is scored and aggregated into a **composite Risk Score**, which is mapped to risk tiers (Low, Medium, High, Very High). In addition to score-based outcomes, **policy overrides** are applied for material risk indicators such as bankruptcy, multiple delinquencies, and elevated DTI, ensuring alignment with conservative credit policy. The model is designed for decision support, with final approvals subject to manual review where appropriate.

PORTFOLIO OVERVIEW

Overall portfolio results indicate a **predominantly low-risk applicant base**, with most applications qualifying for approval under the scorecard framework. A smaller subset of applications is appropriately routed to **manual review** due to elevated leverage or adverse credit history, while a limited number of **high-risk cases** are declined or flagged for enhanced review.

The observed distribution of risk tiers, along with the average portfolio risk score, suggests effective differentiation between low-risk and higher-risk applicants.

KEY RISKS & OBSERVATIONS

Key risk considerations identified include:

- Applicants with **elevated DTI**, increasing sensitivity to income disruption
- Borrowers with prior defaults or multiple delinquencies requiring enhanced scrutiny
- Clear downside risk associated with bankruptcy and severe delinquency cases, appropriately mitigated through policy override rules

These findings highlight the importance of combining quantitative scoring with policy-based controls.

RECOMMENDATIONS

1. **Approve Low Risk** applications subject to standard verification
2. Route Medium and High-Risk cases to manual or enhanced review
3. Maintain strict policy overrides for bankruptcy and severe delinquency events
4. Monitor portfolio-level DTI trends as an early risk indicator

LIMITATIONS

This model does not incorporate collateral values, pricing considerations, or macroeconomic conditions and should be interpreted as a directional risk assessment, not a probability-of-default estimate.